All these exchanges take place at a price, which for all practical purposes is the external value equivalent of Indian currency. If dollar trades are settled at Rs 74 for every rupee, the rupee's external value is 1/74th of the dollar. When the price of the dollar goes up or down, the value of the rupee depreciates or appreciates accordingly.

Maintaining stability in the external value of the rupee is as important as maintaining stability in its internal value.

Credit or Financial Stability is the Other Major Function of RBI

RBI creates money by extending credit to the government and banks. This created/manufactured money, usually called reserve money, is the base of credit creation in the economy.

Credit fuels government expenditure and private investment, which funds growth and redistribution. Correct and calibrated credit expansion generates the right amount of growth and keeps the financial system stable. Excessive credit expansion overheats the economy and disturbs stability. Excessive and indiscriminate credit expansion also leads to failure of businesses, frauds and waste. This generates non-perming loans and non-payment of credit extended, which disturbs stability. The stability of the credit system is the biggest insurance for the stability of the financial system.

RBI is also the regulator of banks, the primary vehicle of credit creation and management. The Banking Regulation Act, 1949, confers it considerable regulatory authority, including licencing, control over management and closure of banks. RBI's regulatory authority over PSBs, the nationalized banks owned by the government, is somewhat constrained by the two Bank Nationalization Acts. There is also some diffusion of regulatory authority over cooperative banks, including urban cooperative banks.